The oil market is likely to remain nervous this week ahead of the US midterm elections. The market has been increasingly pricing in the risk of escalation in the Persian Gulf following the elections, but there is still a glimmer of hope for diplomacy




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Oil prices finished strong last week, with ICE Brent settling almost 2.4% higher on Friday to close above $113/bbl. It was also the Dec-26 contract expiry; it settled at $117.64/bbl on its last trading day. Vessels have faced a growing number of attacks in recent weeks. Yet this coincides with signs that more traffic is flowing through the Strait of Hormuz. Fears remain high over the potential for fresh US and Israeli strikes on Iran following the US midterms. Reports say that President Trump wants to give diplomacy a chance are weighing on prices in early morning trading today. Iranian negotiators have been in Doha over the weekend, holding talks with

Qatari mediators. It remains to be seen whether this will lead to anything.

The price action in oil in recent weeks reflects a market increasingly bracing for the potential for more hostilities between the US and Iran. If the midterms pass with neither strikes nor a deal, the key question is whether the market continues to price in a substantial geopolitical risk premium or whether that premium gradually begins to unwind. Given that many of the key developments in this conflict have unfolded over weekends, the market may have to hold its breath until the end of the week.

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net long in ICE Brent by 3,576 lots over the last reporting week to 245,457 lots as of last Tuesday. Fresh longs drove the move. Meanwhile, the net speculative long is still some distance away from the year-to-date high of around 430k lots seen in March. This suggests that with the right catalyst, speculators could add to this position. A strong catalyst would be needed, though, given that from a risk-reward perspective it may not make sense to take too much risk on the long side at current price levels.

European gas prices saw significant strength at the end of last week, with TTF settling more than 6% higher on Friday, near

EUR104/MWh. Prices eased slightly in early morning trading today. Weather forecasts for NW Europe show colder-than-usual weather this week, leading to potentially large storage draws. EU gas storage peaked at just under 75% last Tuesday and has been edging lower since, suggesting the heating season is now underway. With a tight balance through the winter, the market is likely to remain extremely volatile, and weather will prove to be even more important than usual.

Metals - Gold hits one-year low

Gold fell to its lowest level in a year at the end of last week as oil p
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narrowed by almost $48/t on Friday to $174.85/t, but remains elevated, while the Yangshan premium rose above $200/t last week. This suggests refined copper availability remains constrained despite the pullback in futures prices. That tightness should provide a floor under prices, although at elevated levels we could see some resistance from price-sensitive demand.

Agriculture — Corn slides on harvest pressure

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CBOT corn prices extended losses for a second consecutive month, falling nearly 11% last month, the largest monthly decline since June 2023. The sell-off was driven by increased harvest supplies, weaker export demand, and easing concerns over Black Sea disruptions. US farmers had harvested 60% of their corn crop as of 25 October, up from 44% a week earlier, boosting near-term supply. Weekly US corn export sales declined 15% week-on-week to 1,303.9kt as of 22 October.

Market sentiment is under pressure amid expectations of lower geopolitical risk following renewed discussions involving Russia, Ukraine, and the US. This could mean more stable grain shipments fr
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